

EXECUTIVE SUMMARY

Key Takeaways:

- The PM's industry factor exposure contributed positively to returns but exhibited high volatility and significant drawdowns, impairing risk-adjusted performance.
- Positive PnL was driven primarily by short positions, with timely allocation to Airlines' rebound effectively offsetting losses from long positions.
- The PM's superior short timing demonstrates a replicable skill, but sizing inconsistencies require improvement to enhance overall Sharpe ratios.
- Realized PnL was notably stronger during earnings seasons, highlighting the PM's effective positioning during this period.

Actionable Recommendations - The PM should focus on the following areas to improve portfolio performance:

1. Uniform Long Exposures: Standardize long position sizing, particularly during non-earnings periods, to reduce volatility.
2. Short Position Process: Refine decision-making around short construction to capitalize on demonstrated timing skills.
3. Industry Breadth: Diversify portfolio exposure by allocating across a broader set of industry factors to mitigate concentration risk.

Risk Management: Monitor and manage risk concentration more closely to limit performance drawdowns.

INDUSTRY FACTOR PNL

The industry factor contribution was positive (Figure 1); however, high volatility resulted in a Sharpe ratio of 0.02, significantly impairing the manager's risk-adjusted returns (Figure 2 and Figure 3).

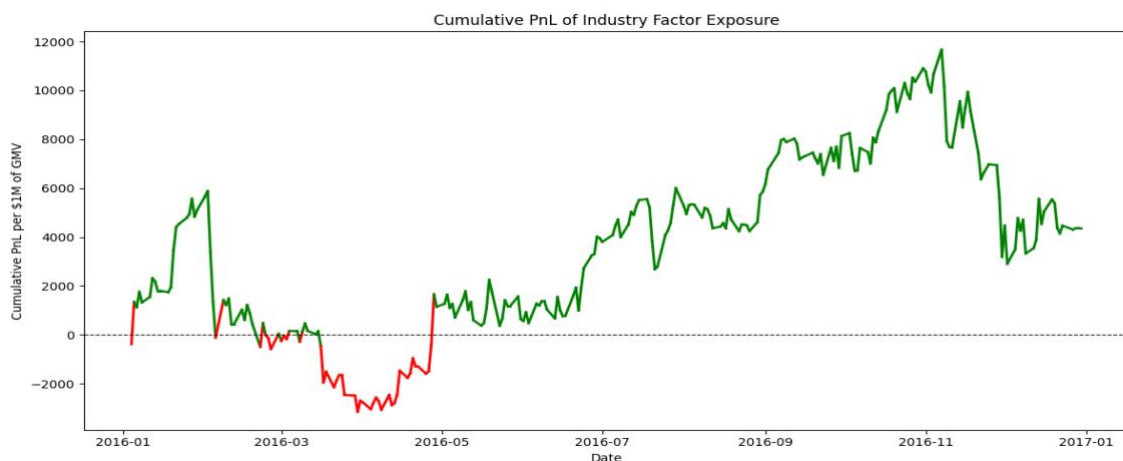


FIGURE 1: Cumulative Performance of Industry Factor Returns

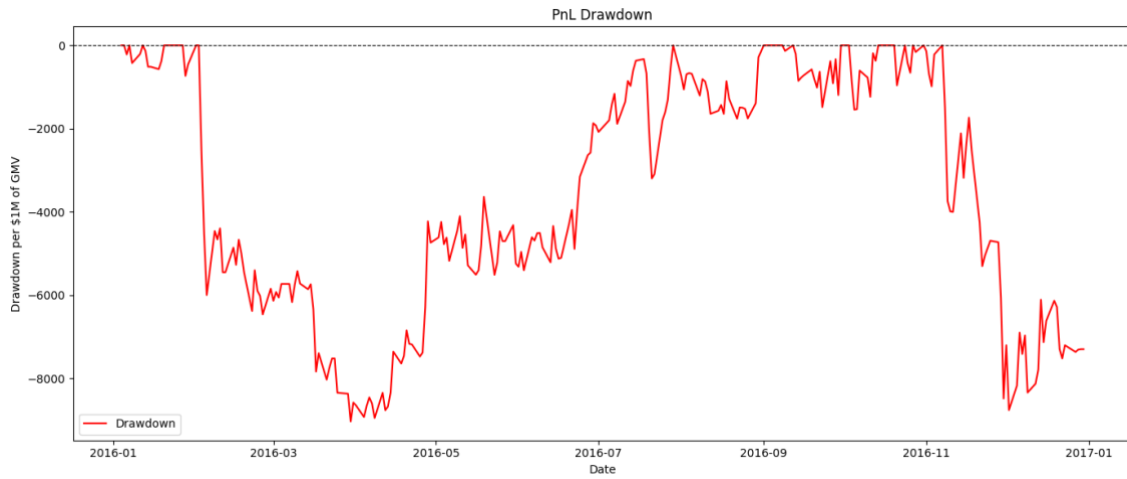


FIGURE 2: Industry Factor PnL Drawdown

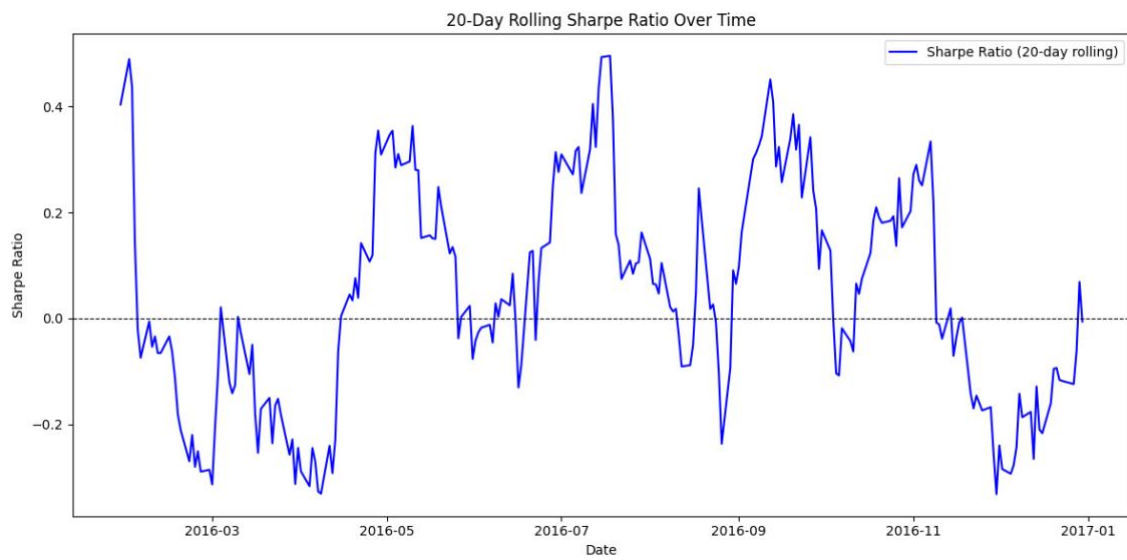


FIGURE 3: Industry Factor PnL Sharpe (20-day rolling)

Metric (per \$1M of GMV)	
Average PnL – Daily	17.08
Standard Deviation - Daily	705.10
Sharpe	0.02
Skew	-0.42
Maximum Drawdown	-9033.42
Sample Size	256

Table 1: Industry Factor PnL statistics

To identify key drivers of realized PnL, the analysis highlights the top 5 and bottom 5 industry contributors to PnL. Positive PnL stemmed from exposures to Airlines, Hotels, and IT Services, which offset underperformance in Food Products and Automobiles.

The manager maintained non-neutral exposures across 7 of the 10 most influential industry factors to PnL. While three factors delivered sufficient gains to compensate for losses in four others, excessive concentration in underperforming industries created a performance drag.

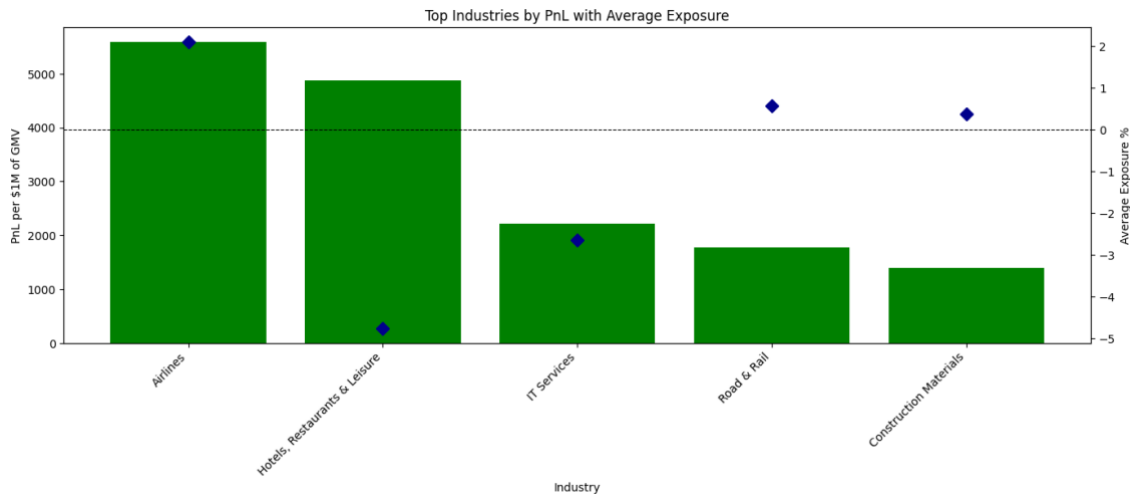


FIGURE 4: Top 5 Industries Contributors by PnL with Average Exposure

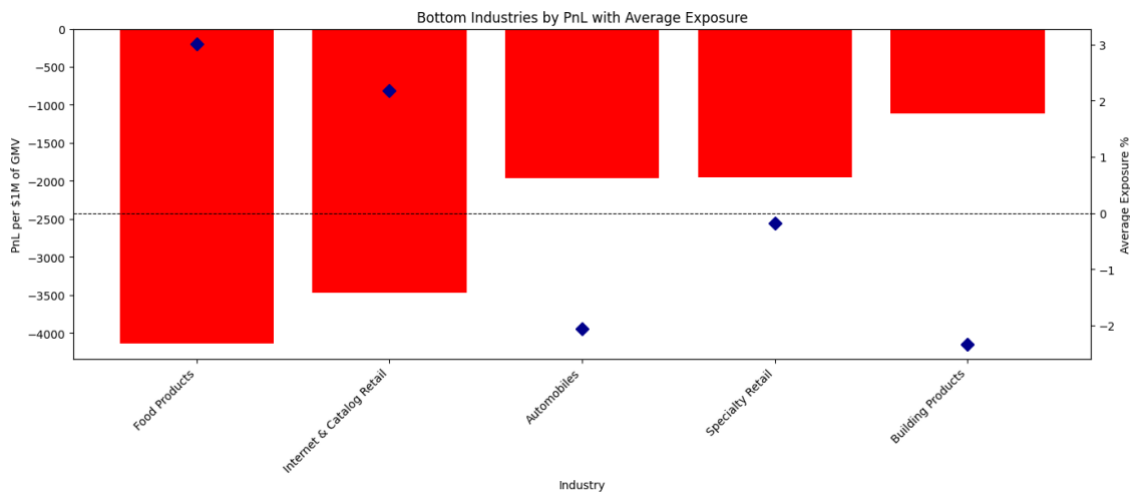


FIGURE 5: Bottom 5 Industries Contributors by PnL with Average Exposure

Overall, the manager's selective positioning shows potential but requires broader diversification and improved risk management to mitigate concentration risks and volatility.

MANAGER SKILLS

The manager demonstrates strong selection skill, particularly on the short side, but needs to improve sizing and long position timing to enhance the overall Sharpe ratio.

Sizing Skill Analysis:

The analysis compares the actual portfolio to a cross-sectional equalized strategy, which adjusts net exposures to equal weights while maintaining the selection bias. Results indicate that the equal-weighted portfolio delivered:

- Higher Sharpe ratios (0.021 vs 0.013) and
- Improved PnL, particularly on long-short and short exposures.

This outcome highlights the need for standardized exposure sizing to unlock additional performance and potentially increase enhance Sharpe by 60%.

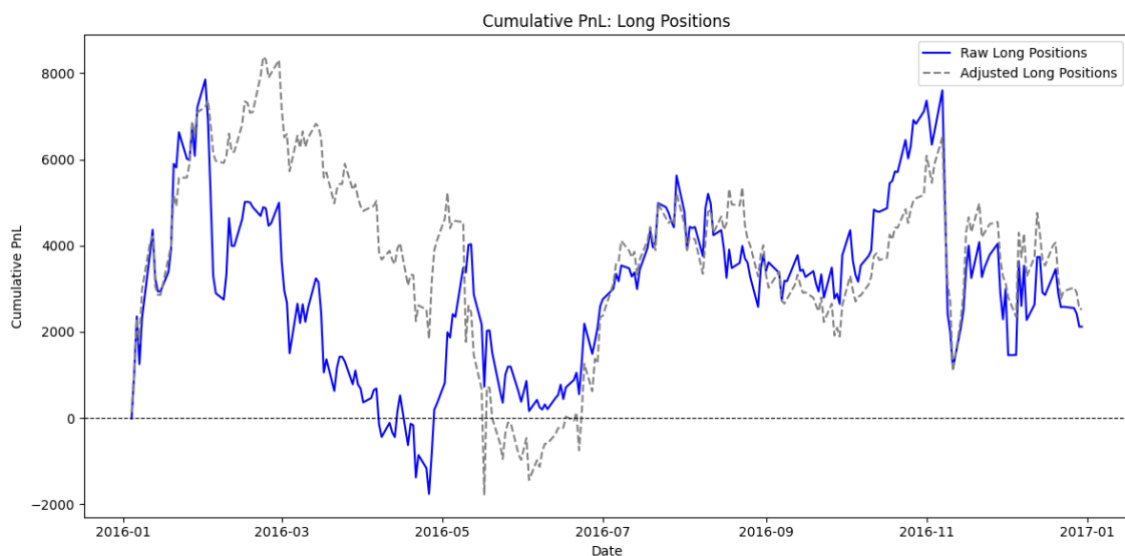


FIGURE 6: Long Equal sized vs actual sized portfolio PnL

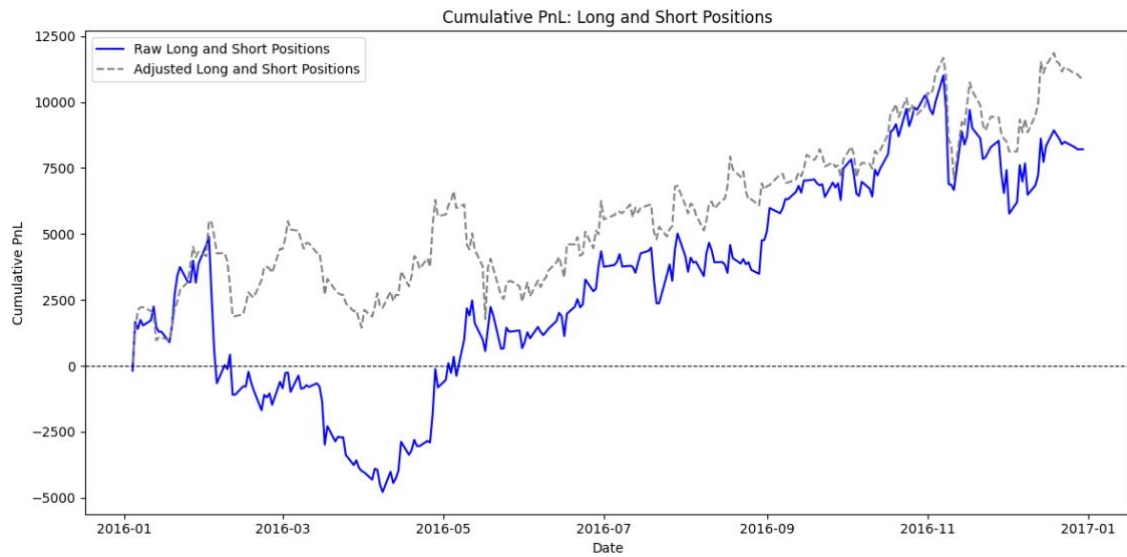


FIGURE 7: Long/Short Equal sized vs actual sized portfolio PnL

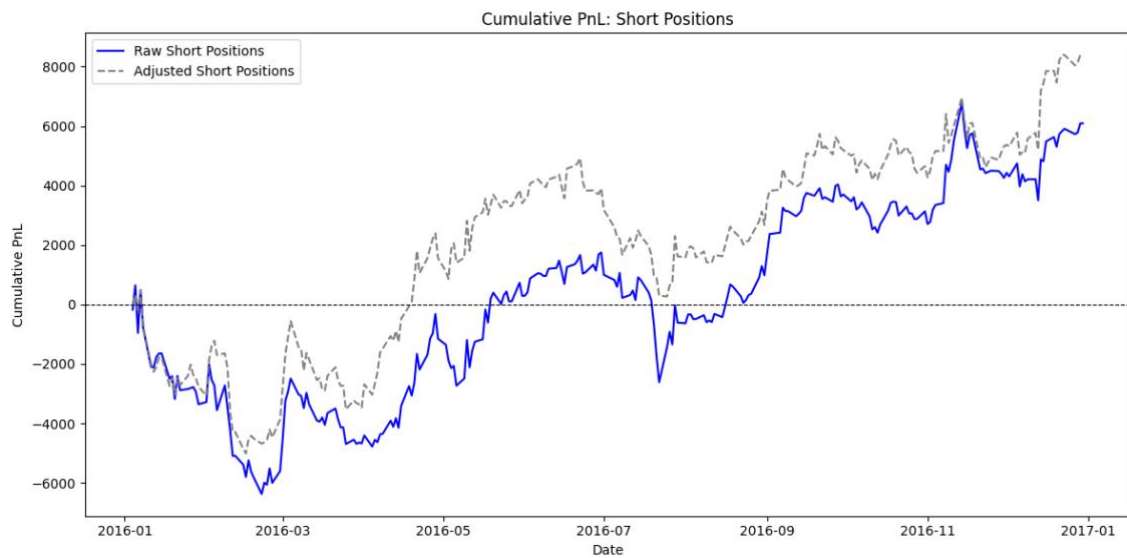


FIGURE 8: Short Equal sized vs actual sized portfolio PnL

Long Actual	Long E-S	L/S Actual	L/S E-S	Short Actual	Short E-S
0.0063	0.0088	0.0137	0.0209	0.0237	0.0358

TABLE 2: Equal sized vs actual sized portfolio Sharpe ratios

Timing Skill Analysis:

The timing analysis uses a cross-sectional time-size equalized strategy, which equalizes non-zero exposures across industries and dates. Unlike the sizing findings, the results reveal:

- The manager demonstrates strong timing skill on short exposures, reflected in superior Sharpe ratios compared to the adjusted portfolio.
- Long timing remains inconsistent, suggesting the manager's timing precision is currently asymmetric between longs and shorts.

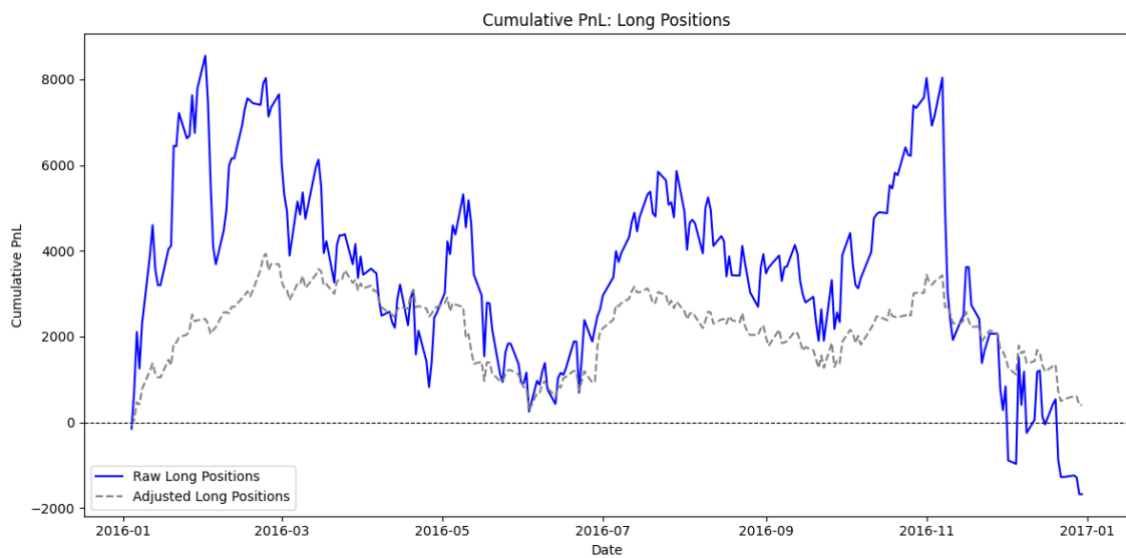


FIGURE 9: Short Equal time sized vs actual sized portfolio PnL

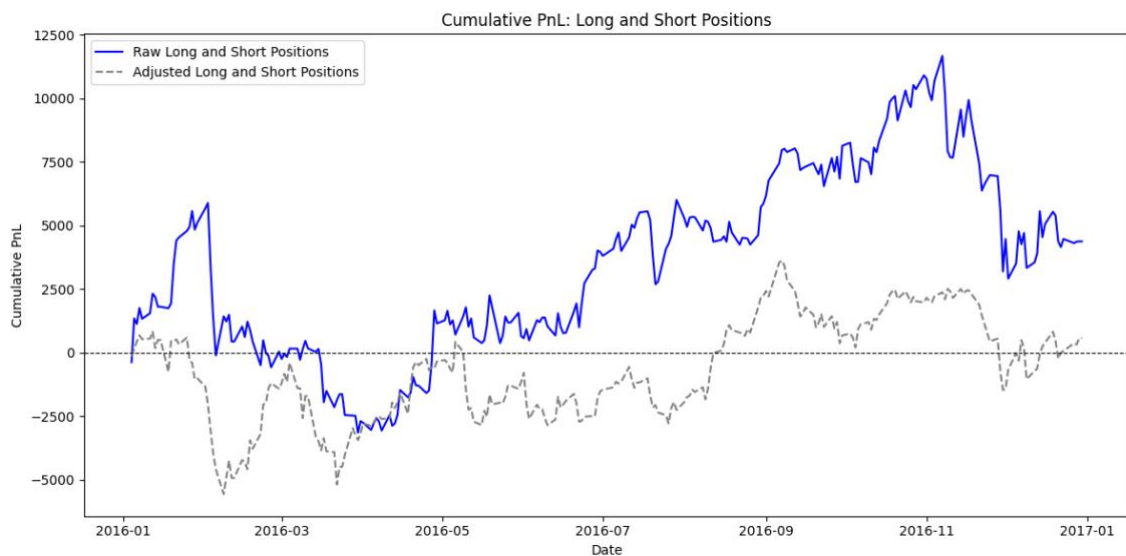


FIGURE 10: Long/Short Equal time sized vs actual sized portfolio PnL

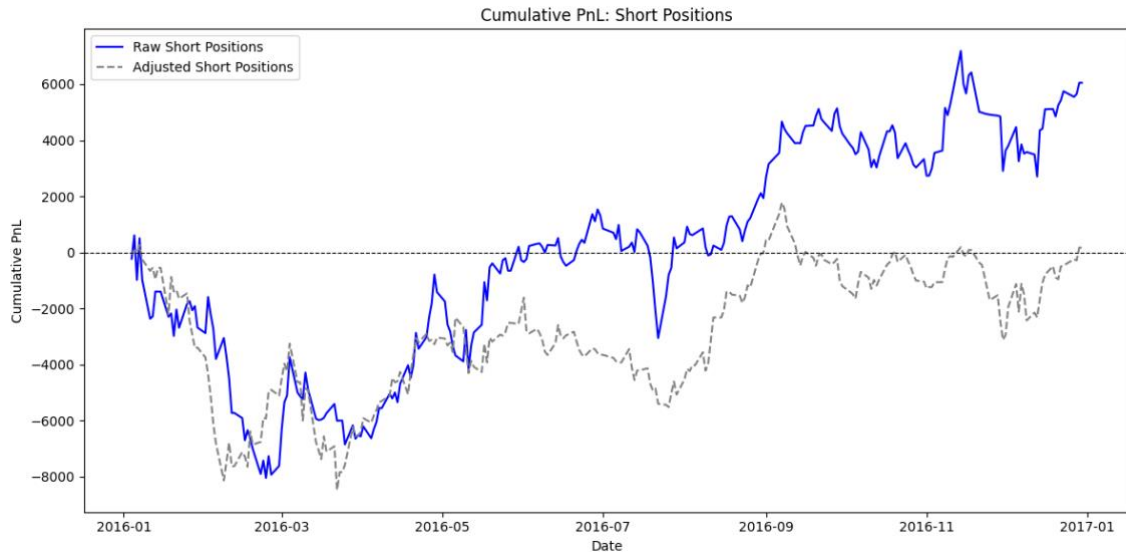


FIGURE 11: Short Equal time sized vs actual sized portfolio PnL

Long Raw	Long Adj	L/S Raw	L/S Adj	Short Raw	Short adj
-0.0033	0.0027	0.0030	0.0007	0.0075	0.0003

TABLE 3: Equal sized vs actual sized portfolio Sharpe

Overall, standardizing exposure sizes while leveraging the manager's proven short timing skills could materially improve portfolio Sharpe ratios. Addressing long position timing inconsistencies would further enhance overall performance.

EARNINGS ANNOUNCEMENTS CONTRIBUTION

Earnings announcements are a key driver of profitability for the PM. As shown in Figure 12, the analysis assumes earnings seasons begin 1–2 weeks after each fiscal quarter and last for six weeks. Results indicate that a) most of the PnL was generated during earnings seasons, and b) the corresponding Sharpe ratio was significantly higher during these periods.

This demonstrates that earnings seasons are a consistent and proven source of alpha for the PM. Additionally, the analysis reveals that the PM should refine portfolio positioning during non-earnings periods to improve risk-adjusted return

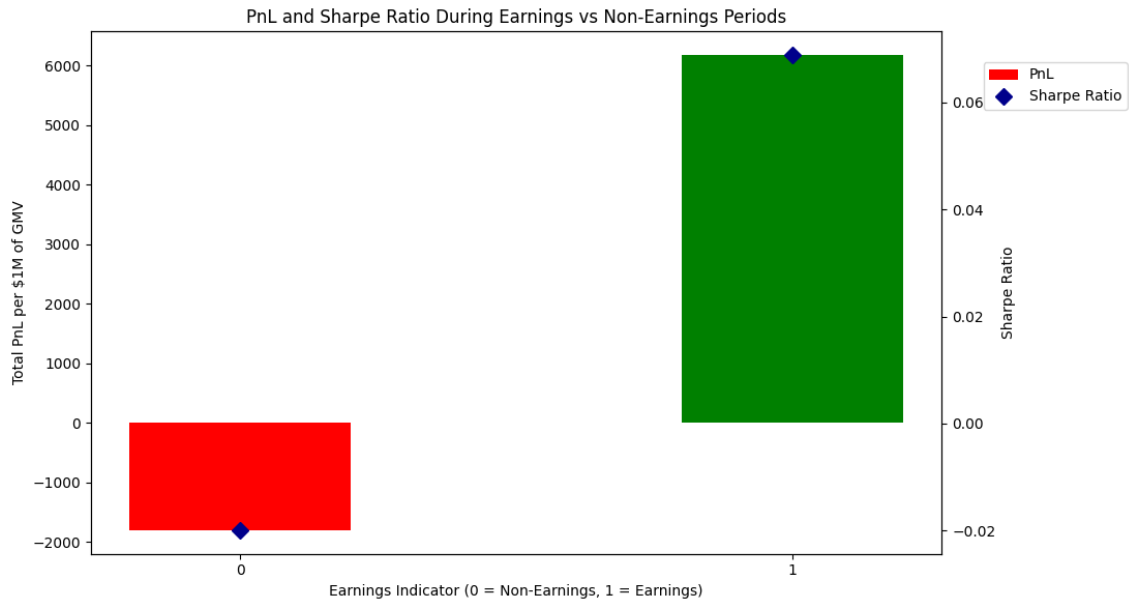


FIGURE 12: Factor Industry PnL during earnings vs non-earnings season.

INDUSTRY FACTORS ANALYSIS

The analysis highlights the manager's effective positioning in key sectors such as Airlines and IT Services, which delivered significant performance gains. However, across the broader industry spectrum, the manager maintained long and short positions in sectors with poor risk profiles, as measured by low Sharpe ratios and unfavorable skew metrics (Figure 13), in part, explaining the manager's success from the short leg.

Key observations include the manager's concentrated exposures to underperforming industries increased portfolio risk, apparently in the pursuit of bottom reversals or downward trend continuations in poorly performing factors.

Given the realized results, the manager should broaden portfolio breadth by diversifying exposures across a wider range of industry factors. This approach will mitigate concentration risk, enhance diversification benefits, and improve overall risk-adjusted returns.

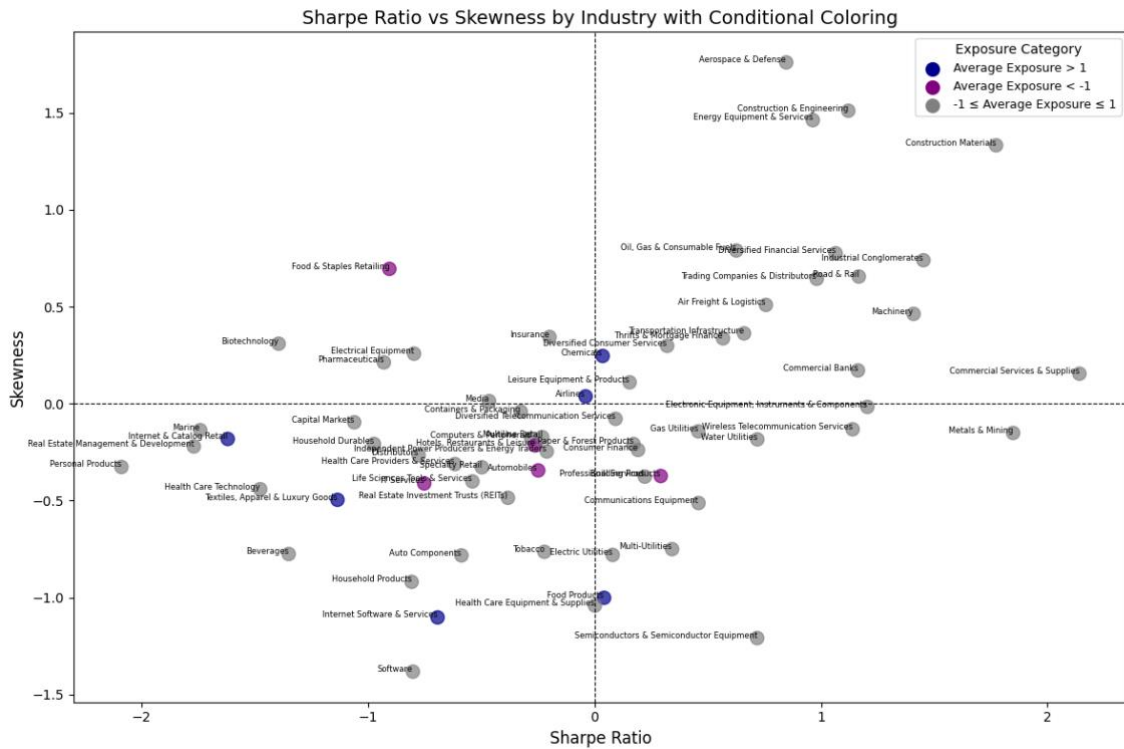


FIGURE 13: Industry Factors risk profile and manager breadth

CONCLUSION

The analysis demonstrates that the PM's portfolio exposure to industry factors contributed positively to returns but was accompanied by high volatility and significant drawdowns, which impaired risk-adjusted performance. Most of the positive PnL was generated through short positions, where the PM exhibited superior timing skills, particularly in identifying reversals, such as the timely allocation to Airlines. However, inconsistent sizing across long exposures reduced overall performance, indicating the need for standardized exposure sizing to stabilize results.

Additionally, the PM delivered notably stronger performance during earnings seasons, with higher realized PnL and Sharpe ratios, underscoring effective positioning during these periods. In contrast, portfolio performance outside earnings seasons revealed opportunities for improvement, as non-earnings positioning remains less effective. The analysis also highlights excessive concentration in industries with poor risk profiles, as measured by low Sharpe ratios and skew, which amplified drawdowns and increased portfolio risk.

To address these challenges, the PM should focus on standardizing long exposures, enhancing short construction to build on demonstrated timing strengths, and increasing portfolio breadth to diversify risk. By refining portfolio positioning during non-earnings periods and improving exposure sizing, the PM can deliver more consistent and robust risk-adjusted returns while leveraging existing strengths in short timing and earnings season strategy.